Marketing in a Digital Era

Session 4

Dr. Anshu Suri

Pricing Strategies

Pricing strategies and contexts	External influences	Competitive pressure	Price leadership Competitive parity Low-cost pricing
		Consumer preferences	Price signaling
	Internal influences	Company cost	Cost-plus pricing
		Product lines	Complementary product pricing Price bunding Customer value
		Product life cycle	Launch: skimming or penetration Growth: lower prices because of competition Maturity: discounts and reductions Decline: sharp drop in prices or withdraw



DISTRIBUTION

Some Terms….

- **Upstream partners**: Firms that supply raw materials, components, parts, information, finances, and expertise needed to create a product or service

- **Downstream partners**: marketing channels or distribution channels that look toward the customer, including retailers and wholesalers

- **Value delivery network** : composed of the company, suppliers, distributors, and, ultimately, customers who partner with each other to improve the performance of the entire system

Distribution Intermediaries

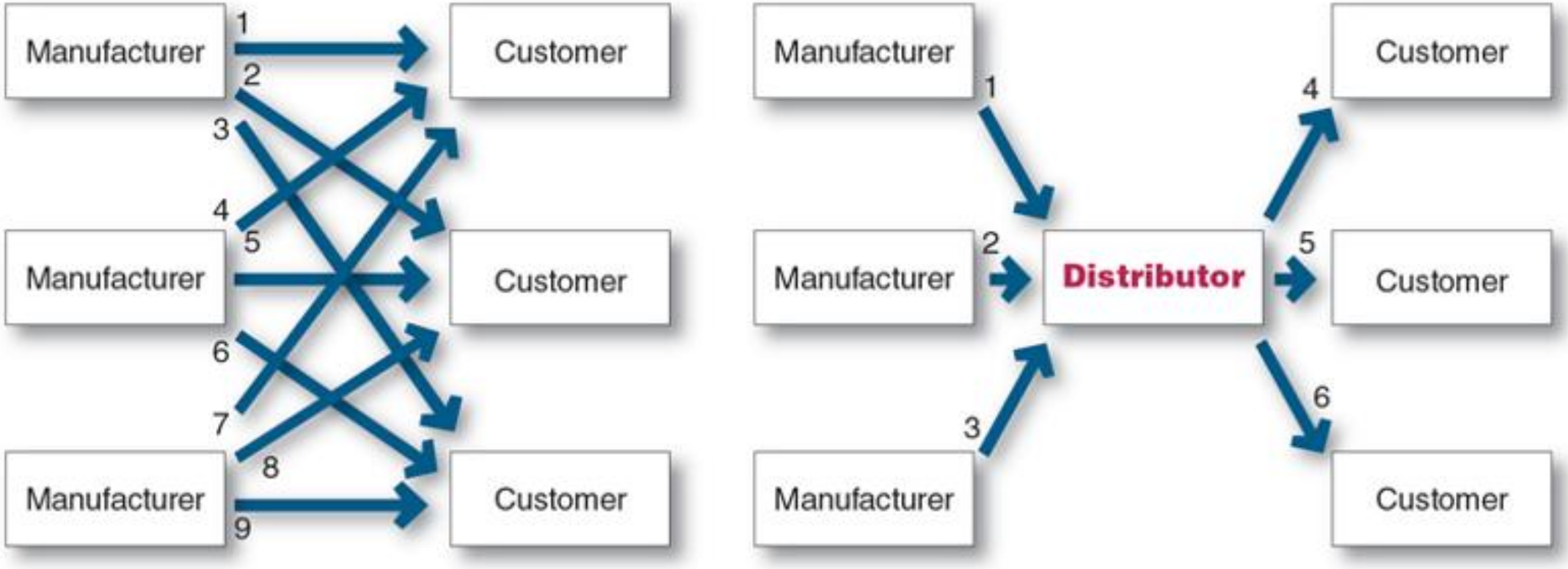
- The main purpose of a distribution network is to make a manufacturer's product available to potential consumers in the ***form and quantity***, and ***the time and place*** desired, so as to create ***continuous business relationships*** *between network members*

- To make this work efficient and smooth, "*intermediaries*" (i.e., 'middle men') are used

- These "intermediate channels" help transfer ownership of a product from producer to the consumer or the business user



Intermediaries create efficiency through specialization, experience, etc.

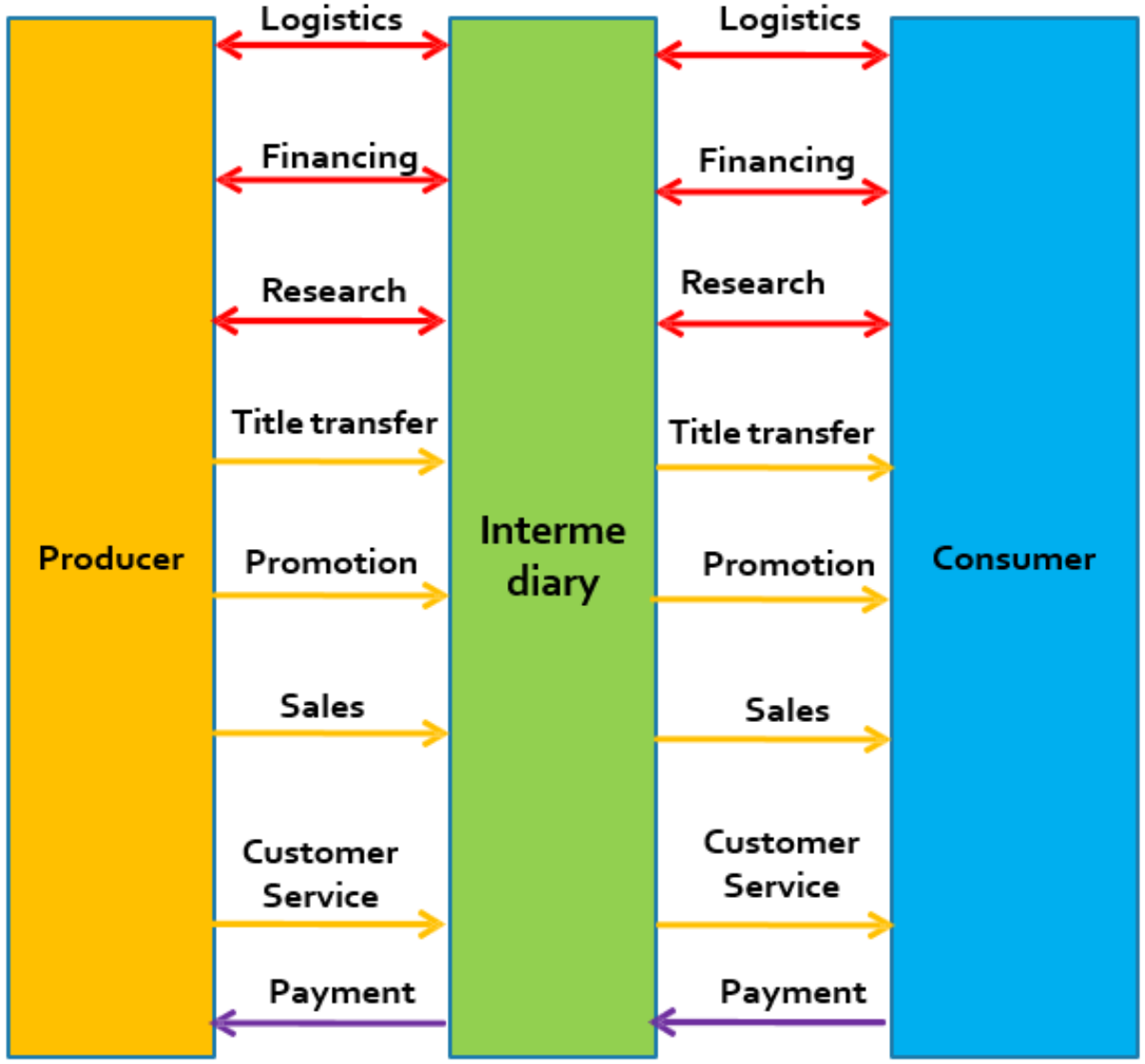


Numbers of contacts = 9

Numbers of contacts = 6

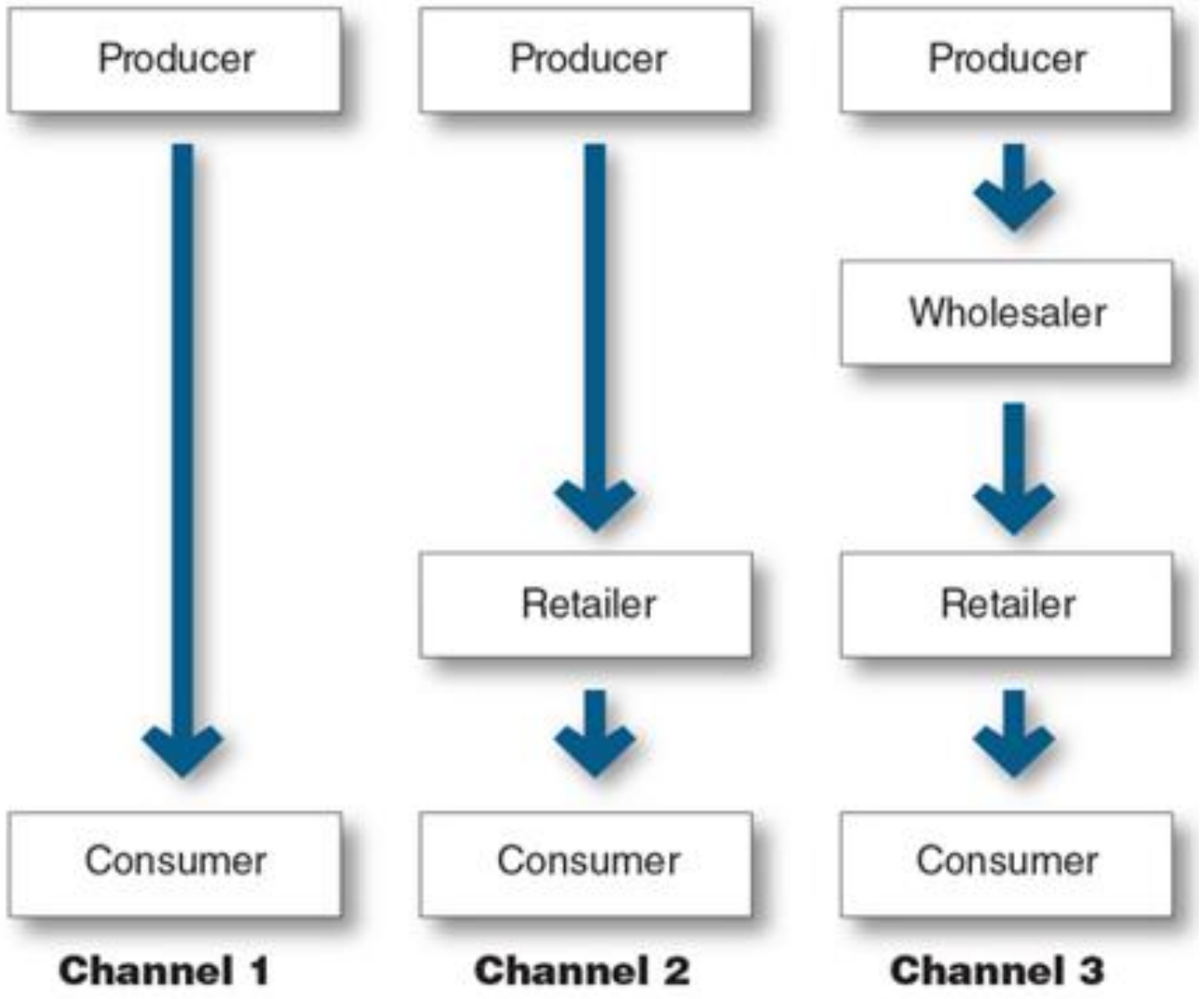
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Functions of Intermediaries

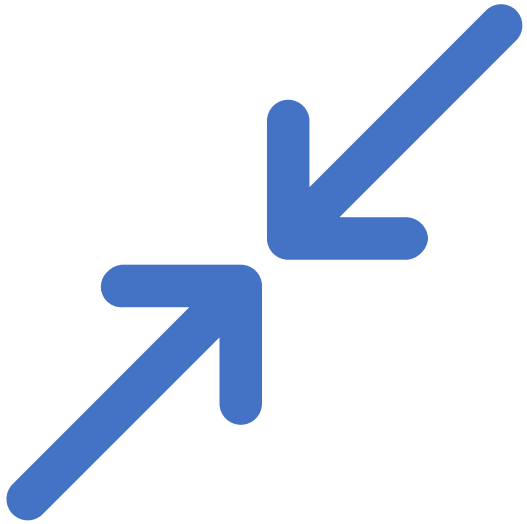


Number of Channel Levels

- Channel length/: The number of intermediary levels
- Direct marketing channel: no intermediary levels
- Indirect marketing channel contains one or more intermediary levels



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Generally, greater number of levels = less control for the producer

Types of Intermediaries

- Traders: They buy merchandise that they offer to their consumers; i.e., they assume all the risks inherent in possession
  - Retailers
  - Wholesalers

- Agents : They do not buy the merchandise but sell for producers
  - Can be called manufacturers' representatives or brokers
  - Performs functions similar to those of a manufacturer's sales team
  - Producers do not have to worry about inter-brand competition with their agents





Retailers

A merchant whose main activity is making direct sales to final consumers

Types of Retailers: Amount of Service Classifications

- Self-service: serve customers who are willing to perform their own locate-compare-select process to save time or money
  - E.g., Supermarkets
- Limited-service retailers: some amount of sales assistance
  - E.g., Departmental stores
- Full-service retailers: assist customers in every phase of the shopping process
  - E.g., High-end specialty stores

Alternate Classificiation of Retailers

Based on Product Assortment

Based on Relative Price

Type	Description	Examples
Specialty store	A store that carries a narrow product line with a deep assortment, such as apparel stores, sporting-goods stores, furniture stores, florists, and bookstores.	REI, Sunglass Hut, Sephora, Williams-Sonoma
Department store	A store that carries several product lines—typically clothing, home furnishings, and household goods—with each line operated as a separate department managed by specialist buyers or merchandisers.	Macy's, Neiman Marcus
Supermarket	A relatively large, low-cost, low-margin, high-volume, self-service operation designed to serve the consumer's total needs for grocery and household products.	Kroger, Publix, Safeway, SuperValu
Convenience store	A relatively small store located near residential areas, open 24/7, and carrying a limited line of high-turnover convenience products at slightly higher prices.	7-Eleven, Circle K, Speedway, Sheetz
Superstore	A very large store that meets consumers' total needs for routinely purchased food and nonfood items. This includes *supercenters*, combined supermarket and discount stores, and *category killers*, which carry a deep assortment in a particular category.	Walmart Supercenter, SuperTarget, Meijer (discount stores); Best Buy, Petco, Staples, Bed Bath & Beyond (category killers)
Discount store	A store that carries standard merchandise sold at lower prices with lower margins and higher volumes.	Walmart, Target, Kohl's
Off-price retailer	A store that sells merchandise bought at less-than-regular wholesale prices and sold at less than retail. These include *factory outlets* owned and operated by manufacturers; *independent off-price retailers* owned and run by entrepreneurs or by divisions of larger retail corporations; and *warehouse (or wholesale) clubs* selling a limited selection of goods at deep discounts to consumers who pay membership fees.	Mikasa (factory outlet); TJ Maxx (independent off-price retailer); Costco, Sam's Club, BJ's (warehouse clubs)

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Wholesalers

- A merchant who buys large quantities of merchandise from producers and importers, and resells it in varying quantities to retailers and industrial or institutional users

About World Link Food Distributors

8Million
Pounds of fresh and processed seafood shipped last year.

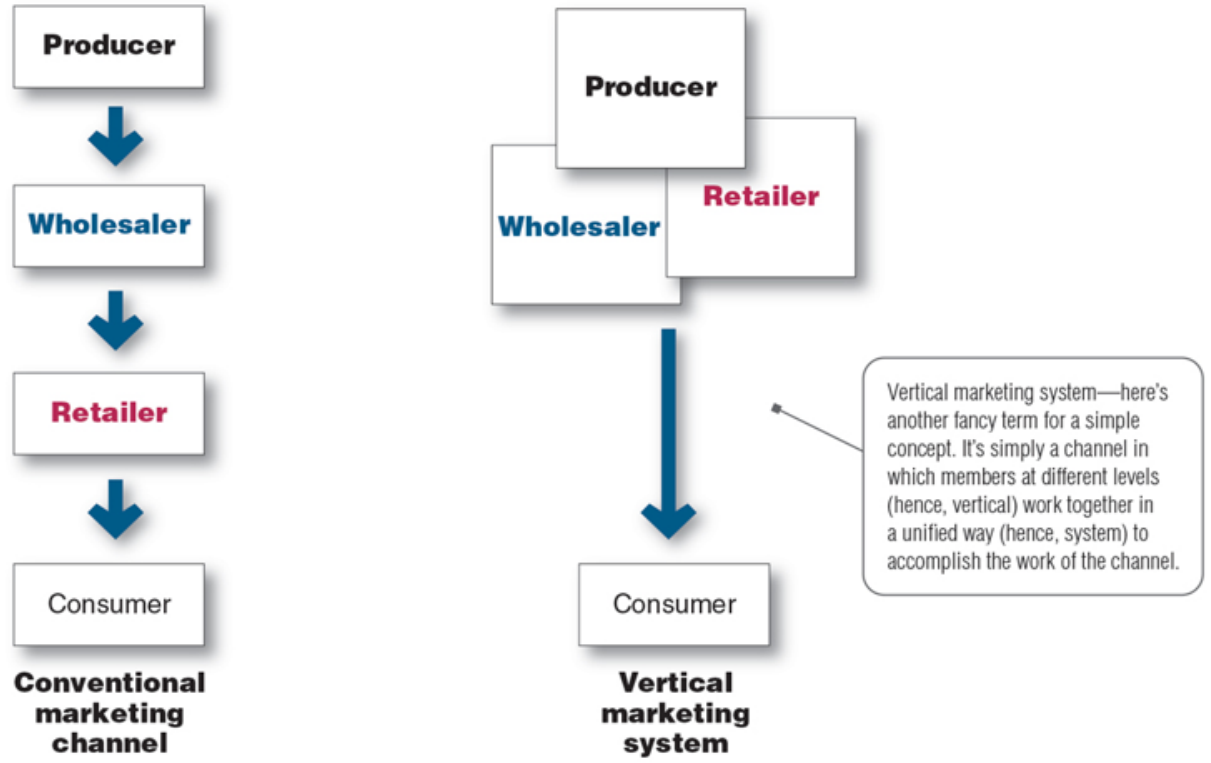
400
Partnerships with over 400 local fishing vessels to assure a consistent supply of quality product.

24
Full logistic services to ship to 24 countries in North America, Europe and Asia.

4
Processing facilities producing top quality seafood.

Vertical marketing system

- A vertical marketing system (VMS) is a professionally managed network where producers, wholesalers, and retailers act as a unified system; their efforts are coordinated



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Corporate VMS

- Combine successive stages of production and distribution under single ownership
- Vertical integration
- More channel control & flexibility





Contractual VMS

- Independent firms at different levels of production and distribution who join together through contracts

- Franchise: agreement between a franchisor (corporate name & business) and a franchisee (can be an individual/business)



Sport Clips, Inc.



Pros & Cons for the Franchisor?

- Advantages
  - Commission typically includes a lump sum and royalties
  - Less capital requirement for growth
  - Transfer of some responsibilities

- Disadvantages
  - Loss of control
  - Variability in service

Administered VMS

- VMS that coordinates successive stages of production and distribution through the size and power of one of the parties

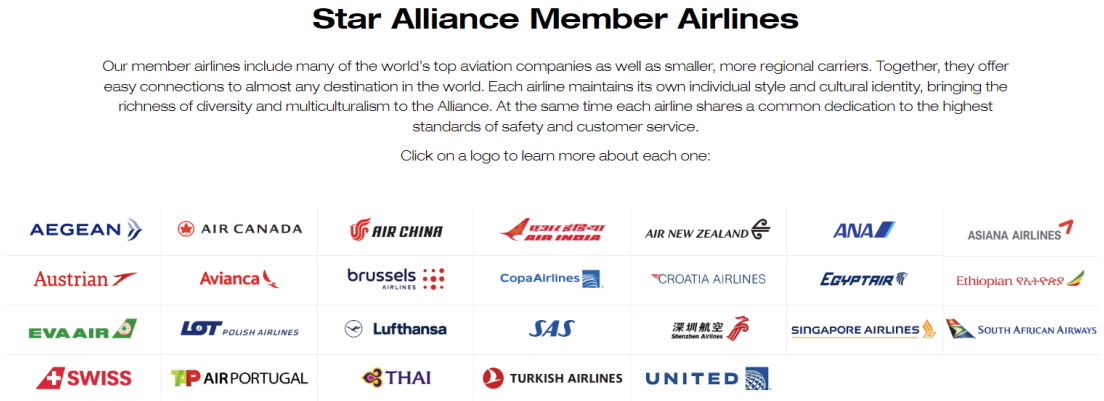
- No common ownership per contractual ties

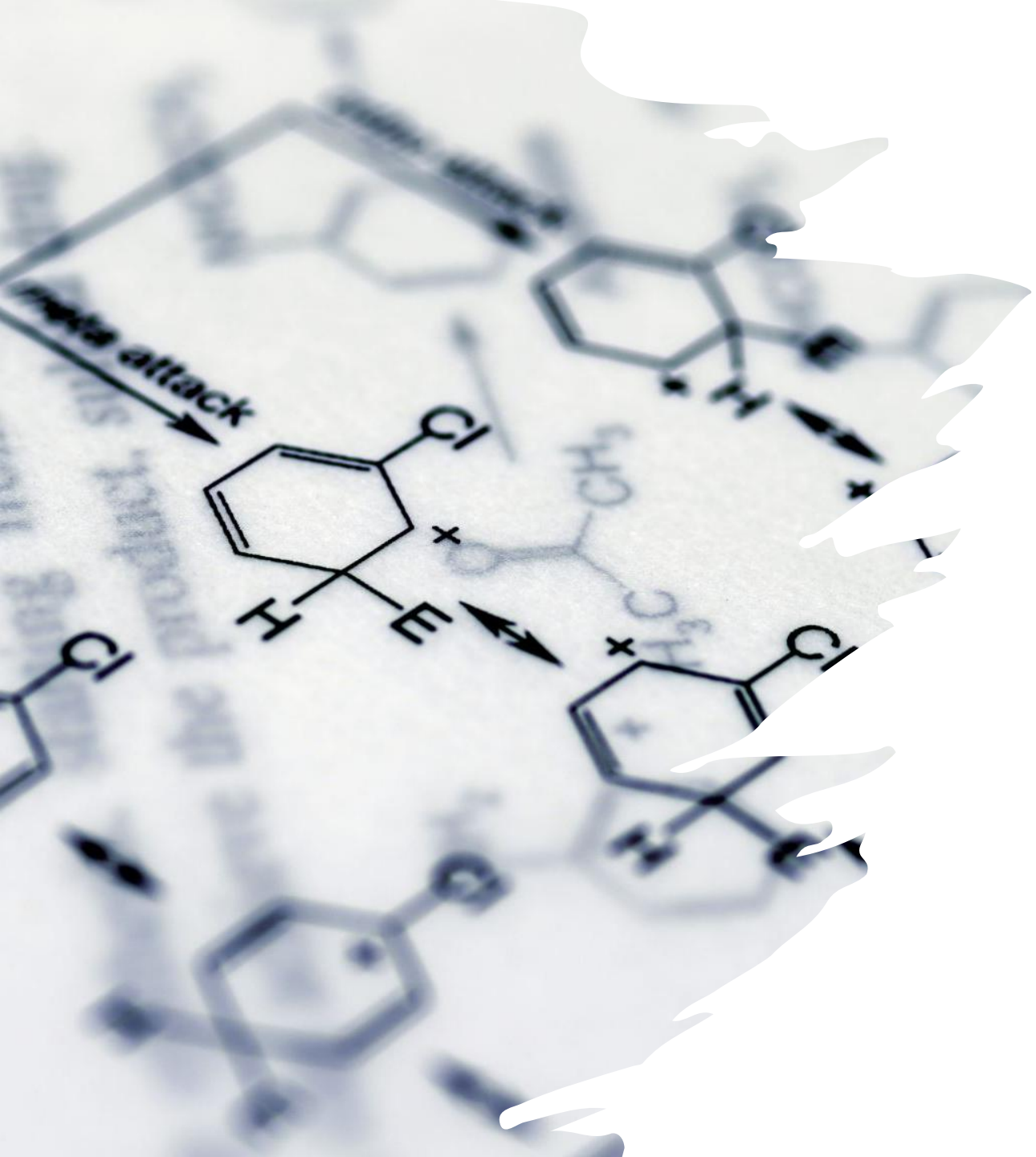


Horizontal Marketing Systems

- Channel arrangement in which two or more companies at one level join together to follow a new marketing opportunity
- Can be competitors or noncompetitors







Distribution Intensity

The number of intermediaries used at each level of channel



Intensive distribution

- A strategy in which products are stocked in as many outlets as possible
- Extensive coverage of all appropriate points of sale
- Linked to mass marketing which aims to make a product as easily available as possible for the largest target possible
- Requires the greatest involvement from a manufacturer
- Commonly used for sale of everyday items

Exclusive distribution

- The producer gives only a limited number of dealers the exclusive right to distribute its products in their territories
- Niche or high-end positioning generally
- Optimal product presentation





Selective Distribution

- The use of more than one but fewer than all of the intermediaries who are willing to carry a company's products

- Commonly used for consumer electronics, furniture, and appliance brands





Channel Design Decisions

- **Marketing channel design:** Designing effective marketing channels by analyzing customer needs, setting channel objectives, identifying major channel alternatives, and evaluating those alternatives



Channel Design Decisions

- Analyzing consumer needs
- Setting channel objectives
- Identifying channel alternatives
- Evaluating channel alternatives

Channel Design Decisions

Analyzing Consumer Needs

- Find out what target consumers want from the channel
- Identify market segments
- Determine the best channels to use
- Minimize the cost of meeting customer service requirements

Channel Design Decisions

Setting Channel Objectives

- Determine targeted levels of customer service
- Balance consumer needs against costs and customer price preferences

Channel Design Decisions

Identifying Major Alternatives

Types of intermediaries refers to channel members available to carry out channel work. Most companies face many channel member choices.

Channel Design Decisions

Identifying Major Alternatives

Number of Marketing Intermediaries

- Intensive distribution
- Exclusive distribution
- Selective distribution

Channel Design Decisions

Identifying Major Alternatives

Responsibilities of Channel Members

A producer and the intermediaries need to agree on

- Price policies
- Conditions of sale
- Territory rights
- Specific services

Channel Design Decisions

Evaluating Major Alternatives

- Economic criteria
- Control issues
- Adaptability criteria

Channel Design Decisions

Exclusive distribution occurs when the producer gives only a limited number of dealers the exclusive right to distribute its products in their territories

Exclusive dealing is when the seller requires that the exclusive distribution sellers not handle competitor's products

Exclusive territorial agreements are where producer or seller limit territory

Tying agreements are agreements where the dealer must take most or all of the line

Intermediaries and Channel Selection Criteria

CRITERIA	DESCRIPTION
Cost and profitability	Evaluation and forecast of sales, costs of channel and margins.
Control	Power to determine segmentation, targeting and positioning
Image of the intermediaries	Synergy in the way to represent the brand
Sharing the functions	Awareness and acceptance of the intermediaries' role to share responsibilities
Compatibility	Coordination and cooperation with the existing network in case of modification
Flexibility	Economic dependency between intermediaries limiting modifications to the network

Disintermediation

- Cutting out of marketing channel intermediaries by producers or the displacement of traditional resellers by new intermediaries

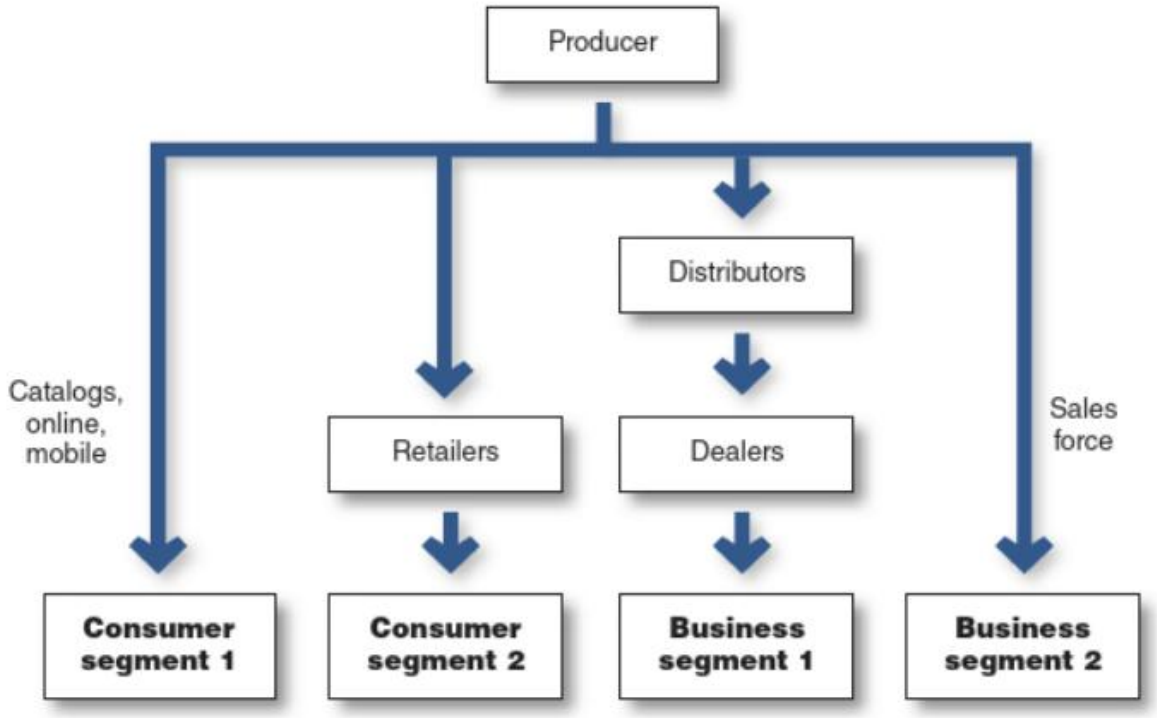
- D2C business models became super common with online retail





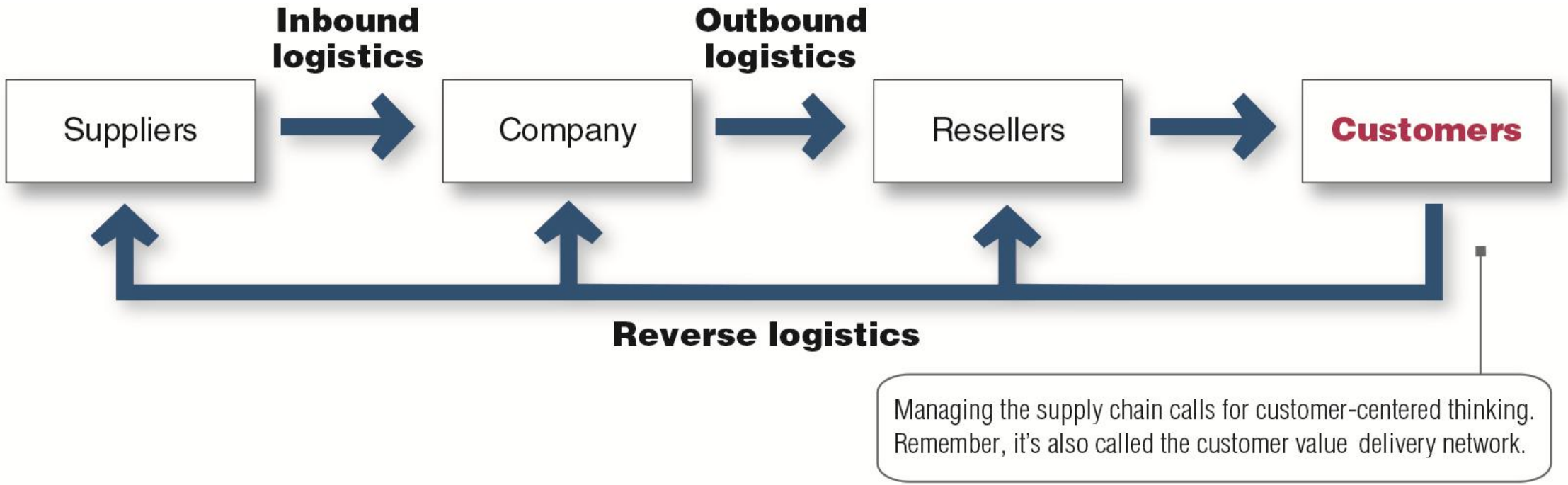
allbirds

Multichannel distribution systems



- Systems in which a single firm sets up two or more marketing channels to reach one or more customer segments

Don’t Forget Reverse Logistics!



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Omni-channel Retailing

- Seamless cross-channel buying experience that integrates in-store, online, and mobile shopping, creating a single shopping experience



Leading Omnichannel Activities Among US Adults, March 2022

% of respondents



Note: n=2,160; in the past 3 months
Source: McKinsey, "How US Consumers are Feeling, Shopping, and Spending—and What It Means for Companies," May 4, 2022

Reinvention in Distribution

- Distribution can create new business models/disrupt existing ones

- "We've spent the last 153 years building warehouses, we just called them stores.“

  - Peter Sachse, Chief Stores Officer, Macy’s



Channel-switching Behaviors

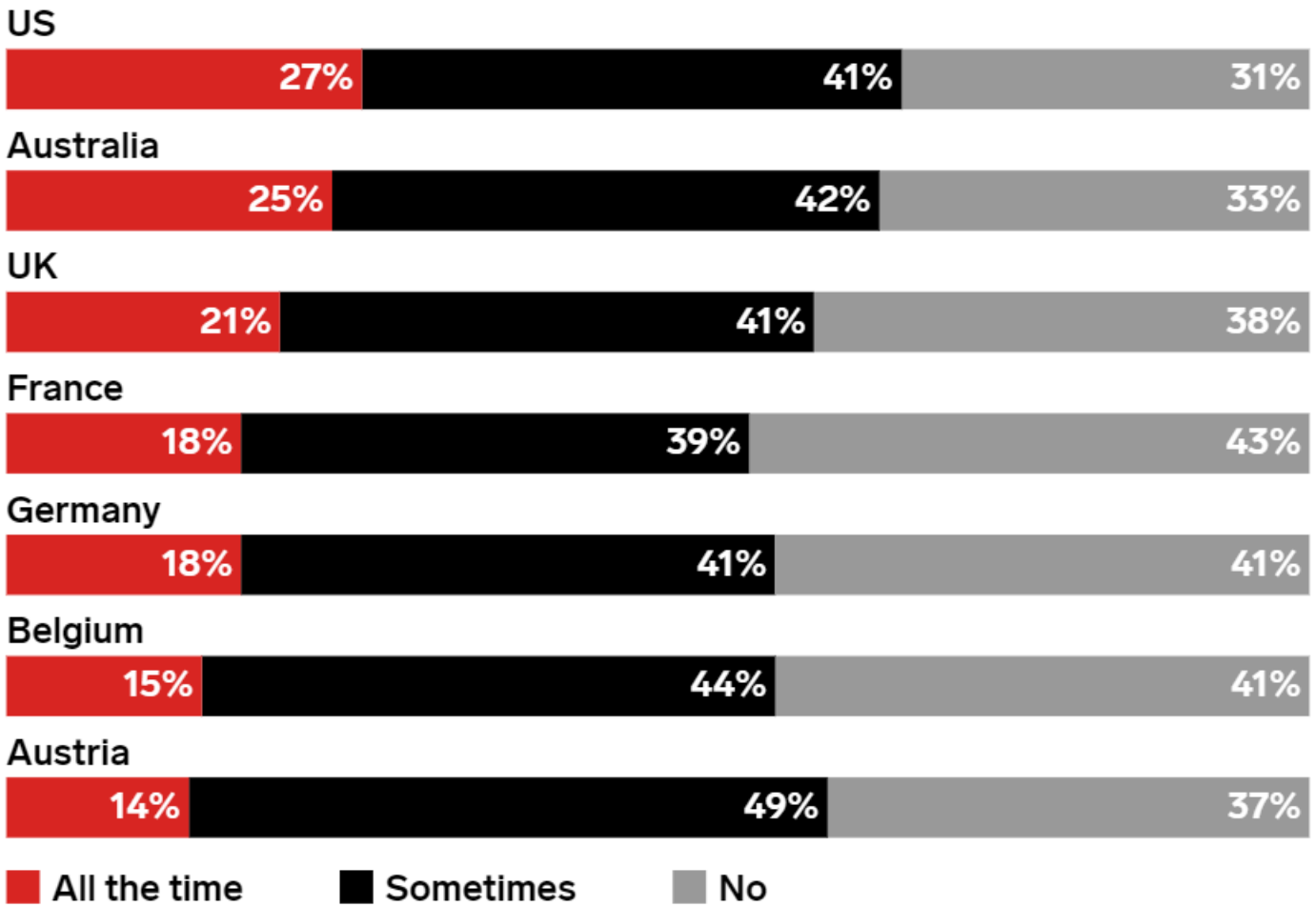
Visiting physical stores for products and then buying them from an online store
(Li et al., 2018)



Showrooming

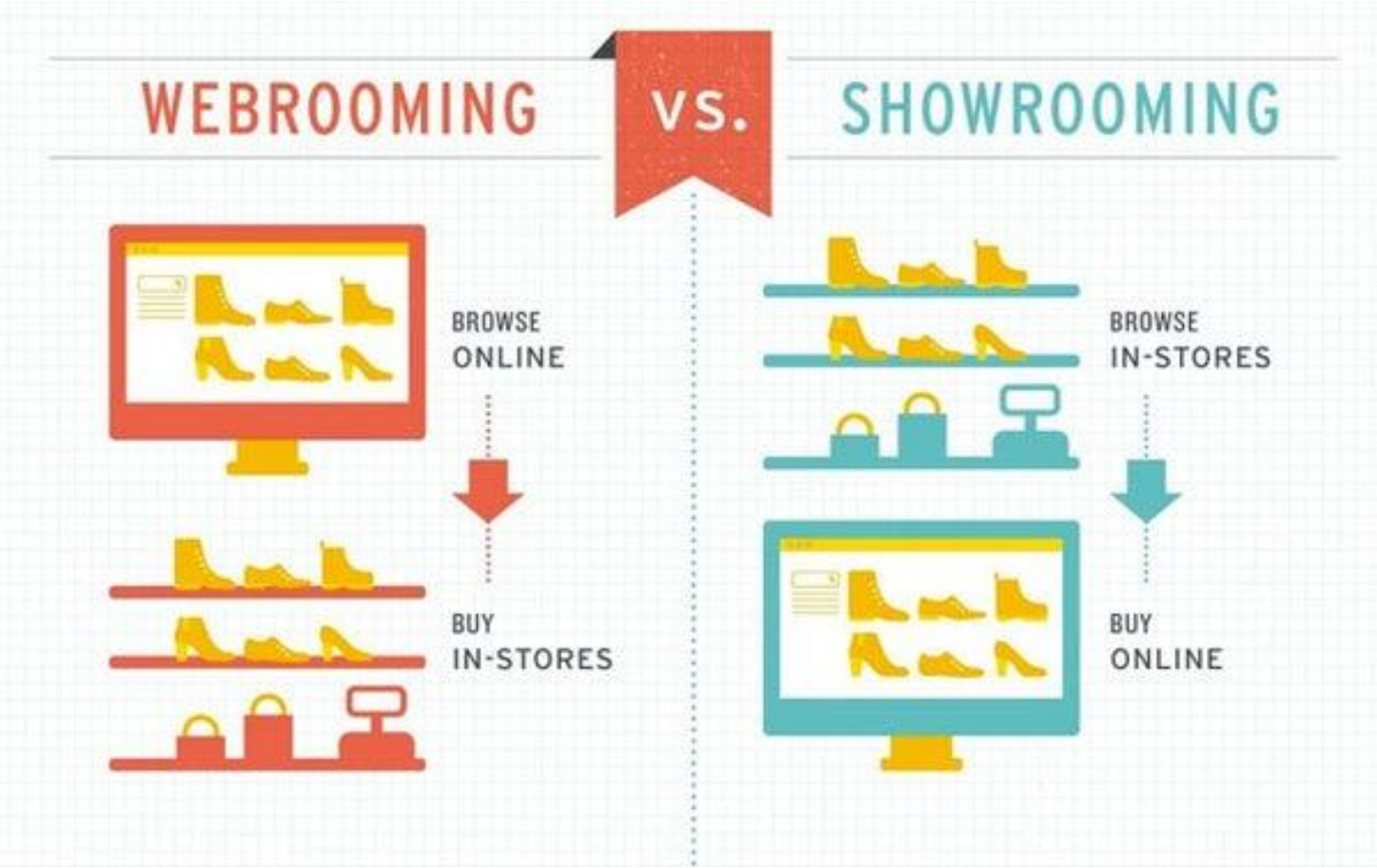
Adults in Select Countries Who Use Their Smartphone to Research Products While in Physical Stores for Black Friday/Cyber Monday Shopping, Nov 2021

% of respondents in each group



Webrooming

- Visiting an online store for products and then buying them at a physical store(Li et al., 2018)



Source: Shopify

Remember: Online Channels offer advantages but also have some shortcomings

- Separation in purchase & acquisition
- Lack of sensory information
  - Individual differences – need for touch (Peck & Childers, 2003)
- However, information on sensory attributes *may carry over* to subsequent purchases (Gauri et al. 2021)



International Market Entry Strategies

Factors influencing the market entry mode choice

- Market attractiveness (market size and market growth)
- Uncertainty in the host country (country risk, including the economic environment)
- The legal environment in the host country (legal restrictions)
- The culture of the home country, assessed by power distance (Hofstede, 2001) acceptance

International Entry Modes

- Firms entering foreign markets must decide how to expand

- Modes differ in control, risk, cost, speed, and learning potential

- Companies often move from low commitment → high commitment

- Common modes: Exporting, Licensing/Franchising, Strategic Alliances, Acquisitions, Greenfield Ventures

Exporting

Producing goods at home, selling abroad

Advantages:

- Quick entry, minimal investment

- Uses existing production facilities

Disadvantages:

- Tariffs & shipping costs

- Limited market adaptation

Example: German carmakers exporting to the U.S.

Licensing & Franchising

- Licensing: Rights to patents, trademarks, technology
- Franchising: Brand + operating model, royalties

Advantages:

- Low investment and risk
- Fast entry across markets

Disadvantages:

- Less control over operations
- Partners may become competitors

Examples: McDonald's franchises in Asia; Disney licensing characters

- **Licensing = rights to use IP/technology.**
- **Franchising = rights to replicate a full business model with ongoing support and stricter control.**

Contract Manufacturing and Outsourcing

- Shift production to countries with lower labor costs
- Company **retains product design, development, and branding**
- Common in apparel industry
- **Outsourcing of Services**
- Beyond manufacturing: firms outsource software development, accounting, claims processing, call centers
- Driven by cost savings + access to skilled labor

Strategic Alliances & Joint Ventures

- Strategic Alliance: Contractual cooperation
- Joint Venture: New jointly owned entity

Advantages:

- Share risk and costs
- Access local expertise, distribution

Disadvantages:

- Cultural/strategic conflicts
- Unequal contributions

Example: Starbucks–Tata in India

Acquisitions

- Purchasing an existing local firm

Advantages:

- Instant market entry

- Established operations & customers

Disadvantages:

- High cost, integration risks

- 40–60% fail to deliver value

Example: Walmart acquiring Flipkart

Foreign direct investment (FDI)

- Direct ownership of facilities in the target country and, therefore transfer of resources including capital, technology, and personnel
- Acquisitions & Greenfield are types of FDI
- **Acquisition (Brownfield FDI):** Buying or merging with an existing firm abroad

Greenfield Ventures

- Type of FDI : Building a wholly owned subsidiary from scratch

Advantages:

- Maximum control over operations

- Direct market insights

Disadvantages:

- Slow, expensive, high risk

Example: Toyota building a plant in Mexico

International Expansion Entry Modes

Entry Mode	Advantages	Disadvantages
Exporting	Quick market access with minimal financial risk	Limited control, weak local market understanding, environmental impact from long-distance shipping
Licensing & Franchising	Low-cost and low-risk way to expand rapidly across markets	Reduced control, potential for partners to turn into competitors, requires strong IP protection and reliable legal systems
Partnering & Strategic Alliance	Shared costs and risks, improves acceptance as a local player	More expensive than exporting or licensing, potential cultural clashes and integration challenges
Acquisition	Provides immediate presence through established operations	Very costly and often difficult to integrate with parent company systems and culture
Greenfield Venture (New Subsidiary)	Maximum control, opportunity to build brand identity, local knowledge gained, often seen positively for employing locals	Requires significant investment, carries high uncertainty, and takes longer to establish operations


What Do You Think About This?


JUST
WALK
OUT



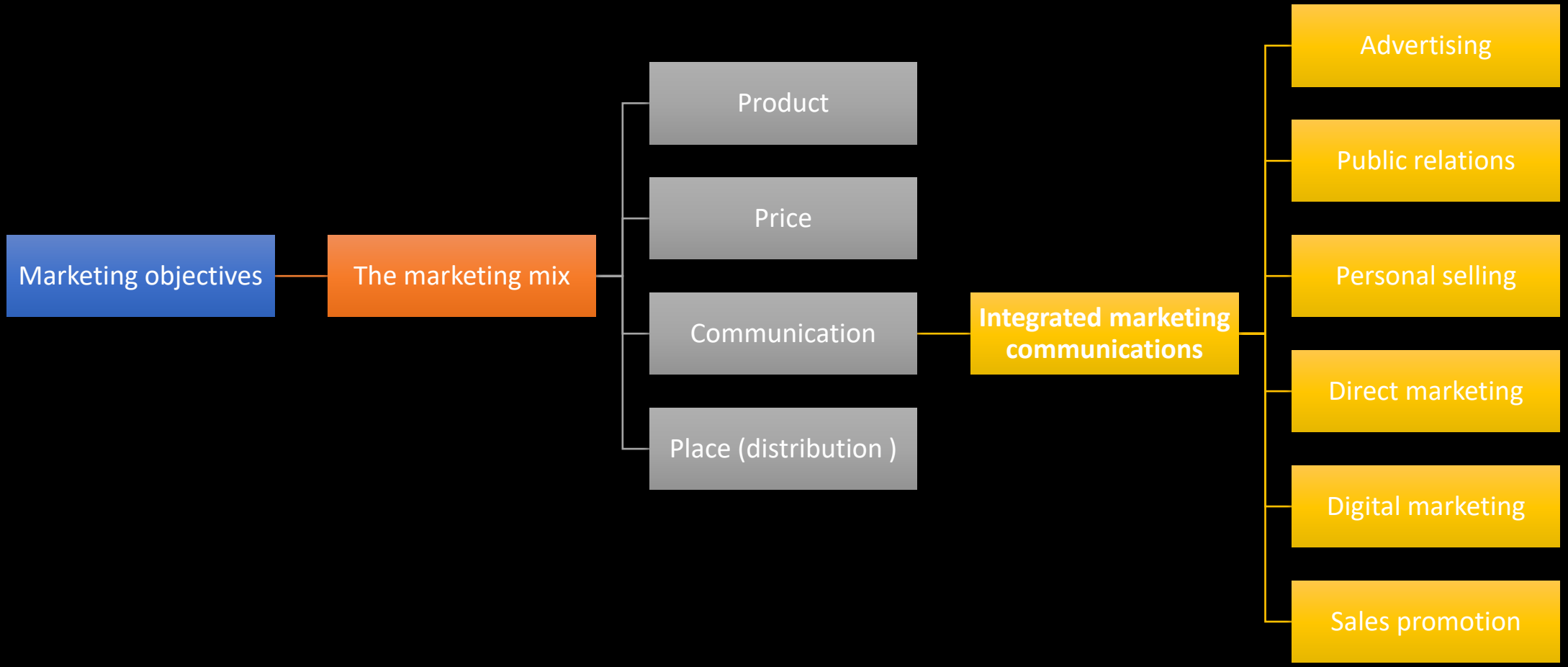
Activity 1

- Groups of 4–5. Each group acts as a **producer** of a new consumer electronics brand (e.g., smart home device).
- Design **distribution channel strategy** by deciding on:
- Type(s) of intermediaries (retailers, wholesalers, agents).
- Distribution intensity (intensive, selective, or exclusive).
- Responsibilities of channel members (pricing policies, services, territory rights).
- Each group presents a **2-minute summary pitch** of your channel design.

Promotional Mix/Marketing Communications Mix

- The specific blend of advertising, public relations, personal selling, sales promotion, and direct and digital marketing tools that the company uses to **engage consumers, persuasively communicate customer value, and build customer relationships** (Kotler et al. 2020)

Marketing Objectives & Marketing Mix



Is This a Part of the Promotional Mix?



Marketing Communication and Its Role



Set of initiatives deployed to reach *a target audience* and transmit a *message*



Translating, and expressing, the *desired positioning of the offer* in a language that the target segment will understand in order to attain communication objectives



Marketing communication initiatives must be in synergy with the other elements of the marketing mix to convey the positioning of the brand

No conflict with any other elements within a marketing mix/ No usage of conflicting communication



Integrated Marketing Communications (IMC):

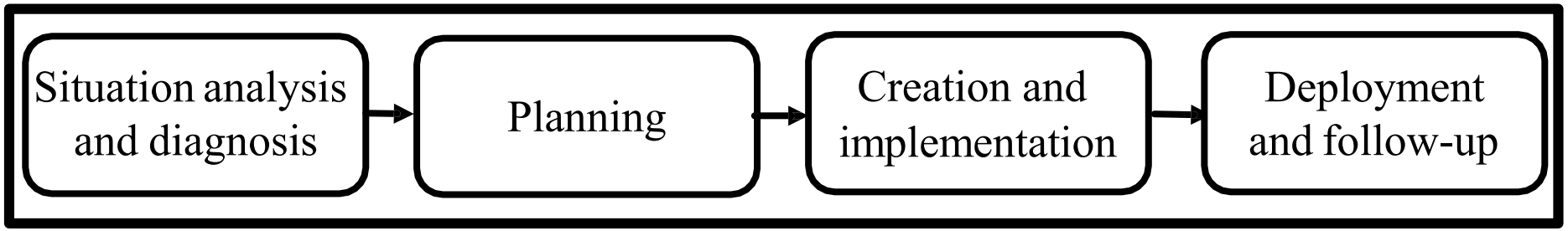
*Coordination of all marketing communication activities to produce a **unified**, **consistent** and **persuasive** message to the target audience*

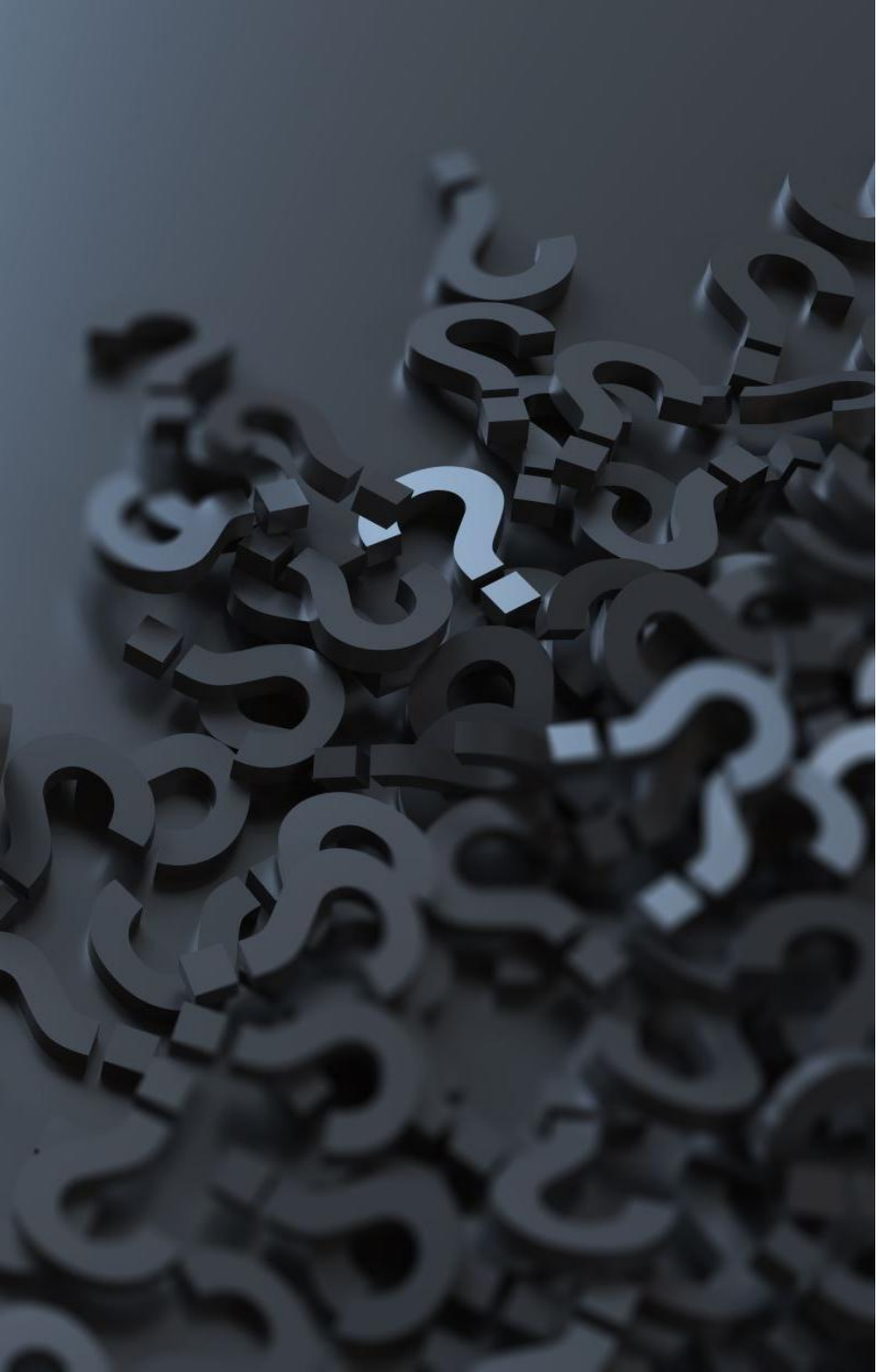
New Reality for Communications

- Consumers are better informed & empowered
- Shift from mass marketing to micromarketing
- Advances in digital technology



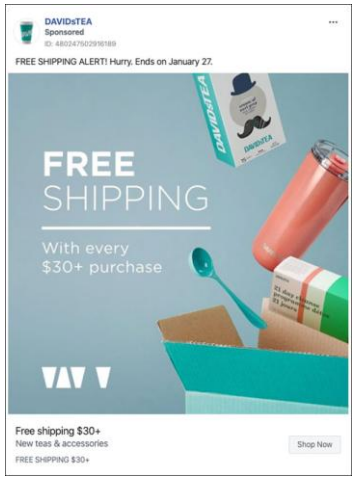
Strategic Planning in Communication: A Process





Step 1: Situation Analysis and Diagnosis

- Internal and external environments
- Positioning
- Keys benefits of products/services
- Consumer insights
  - The consumer's perception of an unresolved problem or dilemma in a product category that the brand offers









Step 2: Planning

- Setting communication objectives
  - Communication Objectives: what the target should know, think, feel or do after exposure to a communication
  - Examples:
    - Build awareness of a brand
    - Inform consumers that an offer exists
    - Change consumers' attitude toward a brand or offer
    - Steer traffic toward a website
    - Stimulate trials, buy or rebuy
- Setting Key performance indicators (KPI)
- Defining *Key message*
- Selecting the communication media
- Timetables/allocating budget & resources
- Contingency plan



Step 2: Planning

Hierarchical effects model and message strategies

Awareness → Knowledge → Liking→ Preference → Conviction → Purchase

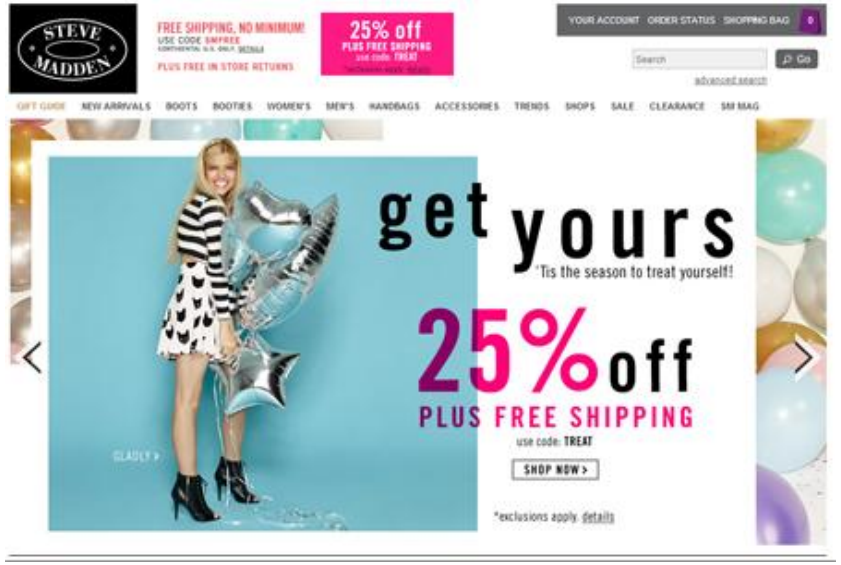
Cognitive strategies

Emotional strategies

Conative strategies







An Example of Objectives and KPIs

	Attention	**Knowledge**	**Conversion**	**Engagement**
Marketing objectives	- Awareness	- Perception - Consideration	- Enrollments - Number of participating schools	- Repetition - WOM
Communication objectives The target should…	- Be excited by FitSpirit's proposal	- Know about the FitClub - Have her fears allayed	- Enroll - Ask the organization to contact her school, if it does not yet offer the program	- Share her experience with her friends - Find out about and participate in upcoming activities
Performance indicators	- Conference attendance - Views of the video - Google searches	- Visits on the site - Time spent on the site -Number of pages visited - Requests for info - Calls	- Number of people who join - Number of schools	- Number of Facebook fans - Social media engagement







Key Message

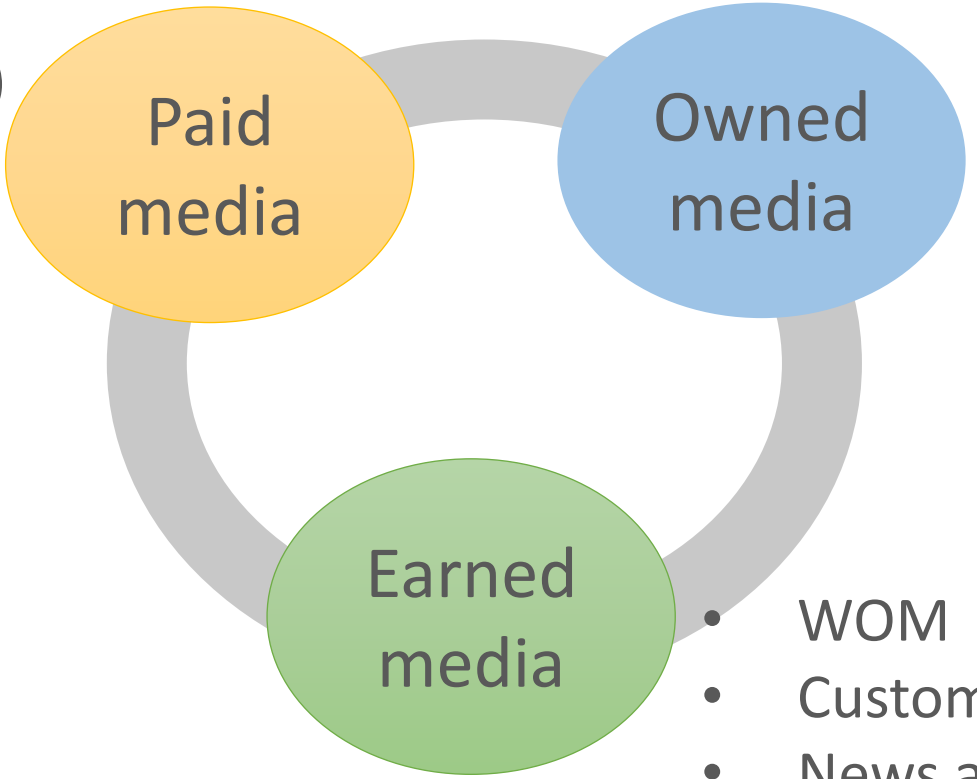
- *Encapsulates the promise of benefit that the business offers, to reach the target consumers. It refers to the main idea that the communication program must express*

Marketing Communication Media



Types of communication media

- Traditional media (TV, radio, print…)
- Online & Mobile advertising
- Sponsorship
- Product placement
- Events



- Company’s stores
- Webpages
- Official accounts on social media

- WOM
- Customer’s social media
- News articles
- Social media influencers

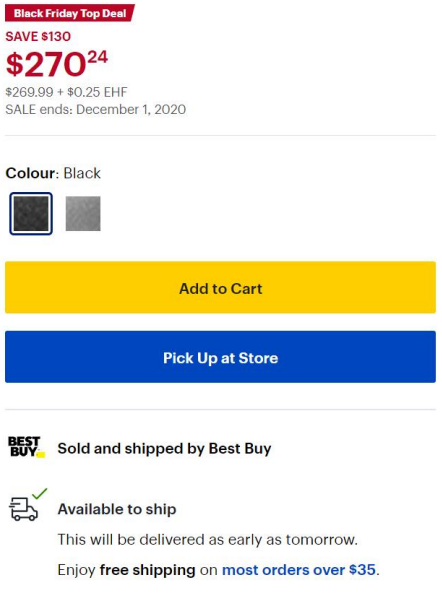




QUESTION: WHAT TYPE OF MEDIA IS THIS?



Bose QC 35 II Blogger Review



- What type of media is this?







Advertising

- Any paid form of nonpersonal presentation and promotion of ideas, goods, or services by an identified sponsor.

- Media such as
  - TV & radio
  - Online
  - Print media such as magazines
  - Billboards

Advertising



Advantages

Good for building awareness

Effective at reaching a wide audience

Repetition of main brand and product positioning can help recall, build trust, and change existing attitudes



Disadvantages

Impersonal

May stimulate interest but may not convince customer to make final purchase

A noisy medium, hard to stand out

Usually, a high investment

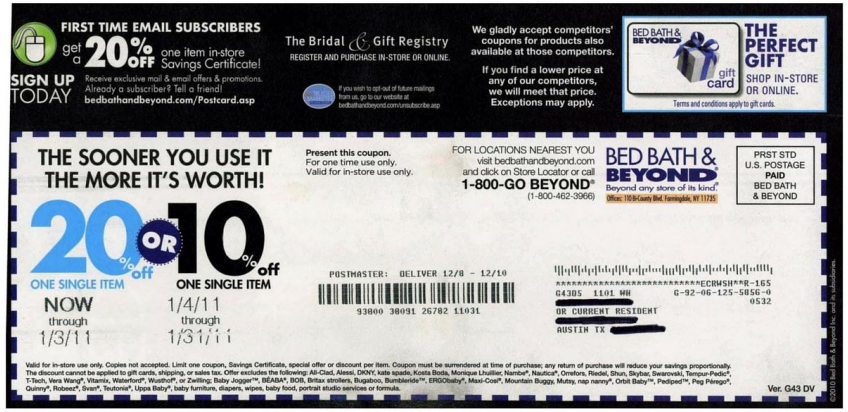
Some Key Metrics of Advertising

Reach	Percentage of the target group exposed, at least once, to a set of media during a certain period of time
Opportunity to see/Frequency	Number of times that the target population is exposed to a message
Cost per thousand (CPM)	Cost per 1000 (e.g. $11 paid for 1000 views)
Share of Voice	A brand's portion of media purchases relative to its competitors

Public Relations & Media Relations

- Strategic management of relationships between an organization and its diverse public (external or internal)
- Earned media
- Examples:
  - Press releases
  - Conferences, meetings & events for journalists, influencers etc.
- Especially useful for crises management
- Disadvantage:
  - hard to measure effectiveness
  - Company has no control over the final message





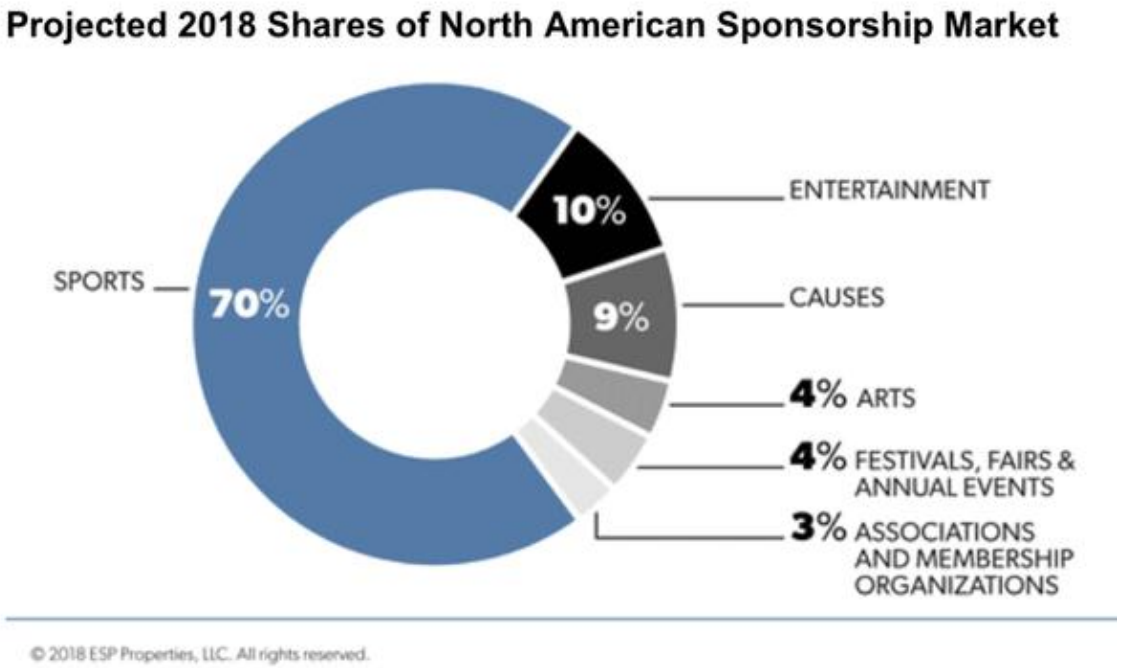


Sales Promotion

- Short-term incentive to encourage the purchase or sale of a product or service
- E.g.
  - Discounts
  - Coupons
- Strength: Easy to measure effectiveness
- Disadvantage: Can reduce product's value in consumers' minds in the long run

Sponsorship

- Financial support that a business provides to a cultural, sports or humanitarian activity with which it is not directly related
- Strengths
  - Emotional connection with specific target
  - Social responsibility image
- Weaknesses
  - Low ROI possible
  - Low to no control on the event




Mental health affects us all.
On January 31, join the conversation.
Learn more
Bell Let's Talk


AMSTERDAM Brewery
PRESENTS
CMW
CANADIAN MUSIC WEEK


THE GOVERNORS BALL
MUSIC FESTIVAL
FUJIFILM
instax
VIP FLYAWAY TO
GOV BALL 2017!
NYLON


Budweiser
MADE IN AMERICA
ALL BACKPACKS



SPOKESPERSON

BRAND EVENT

Businesses can create their own events to reach their target audience





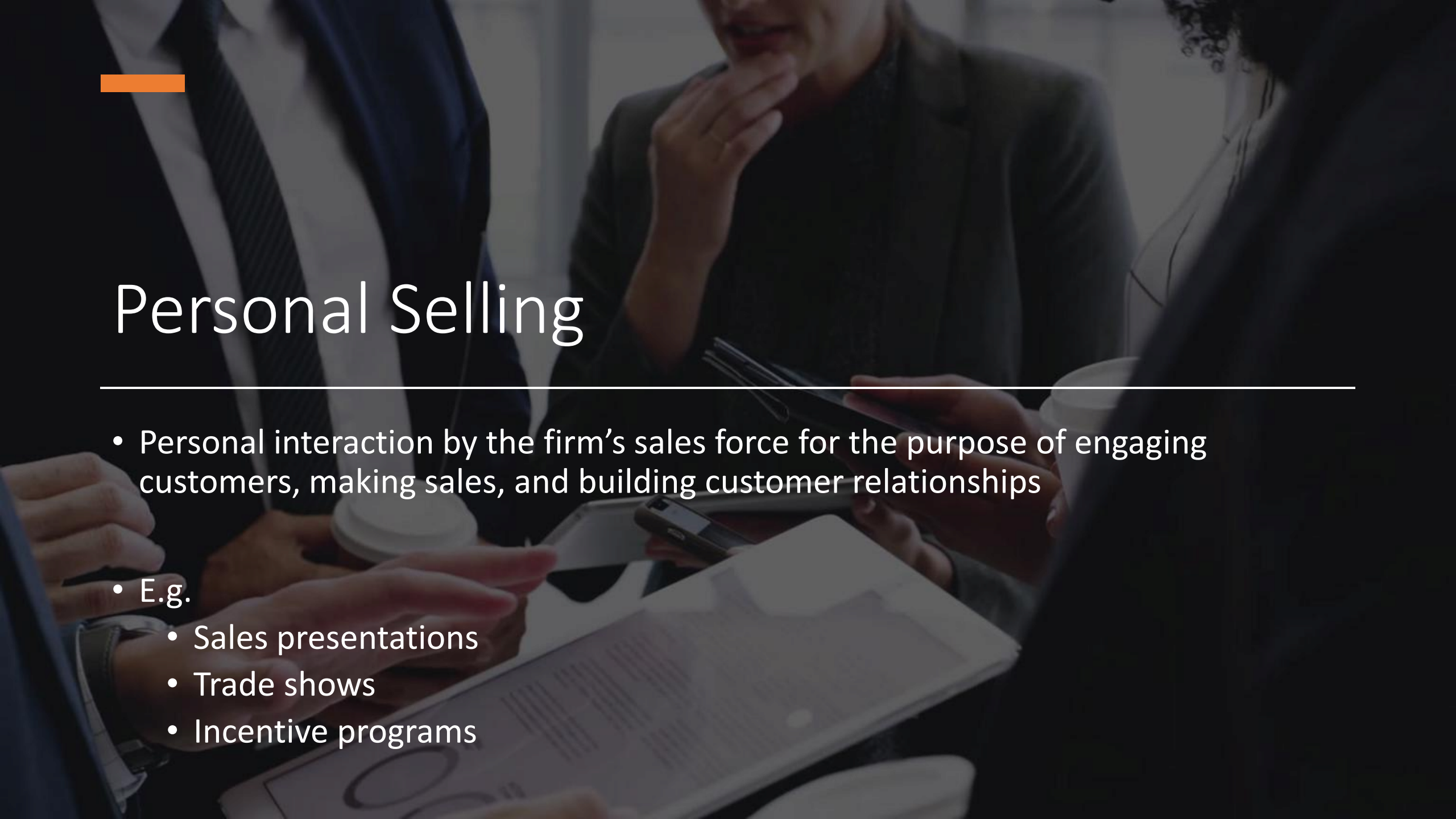
BRAND INTEGRATION

- Making the brand an inseparable part of some other form of entertainment or content
- Most common: product placements









Personal Selling

- Personal interaction by the firm's sales force for the purpose of engaging customers, making sales, and building customer relationships

- E.g.
  - Sales presentations
  - Trade shows
  - Incentive programs

Direct Marketing

- Directly with carefully targeted individual consumers and customer communities to both obtain an immediate response

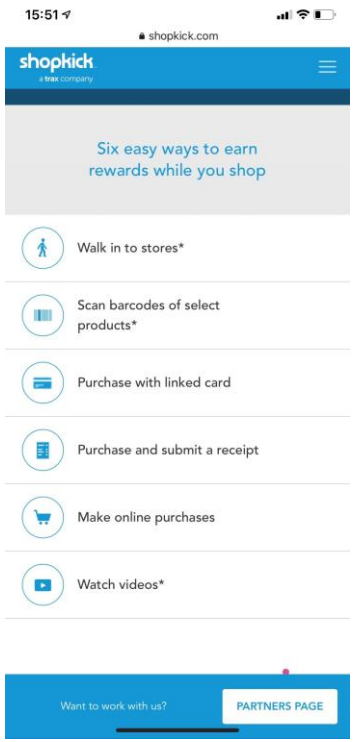
- E.g.
  - Direct mail/email
  - Mobile marketing





Mobile Marketing

- Marketing using mobile devices
- E.g.
  - Apps
  - Real-time Geomarketing
  - Gamification


15:51
shopkick.com
shopkick
a trax company
Six easy ways to earn rewards while you shop
Walk in to stores*
Scan barcodes of select products*
Purchase with linked card
Purchase and submit a receipt
Make online purchases
Watch videos*
Want to work with us?
PARTNERS PAGE

SHOPKICK



Other forms of communication

- Experiential Marketing
  - Consumer experience = Sales promotion + Direct marketing
  - Creativity
  - Innovation
  - New points of contact



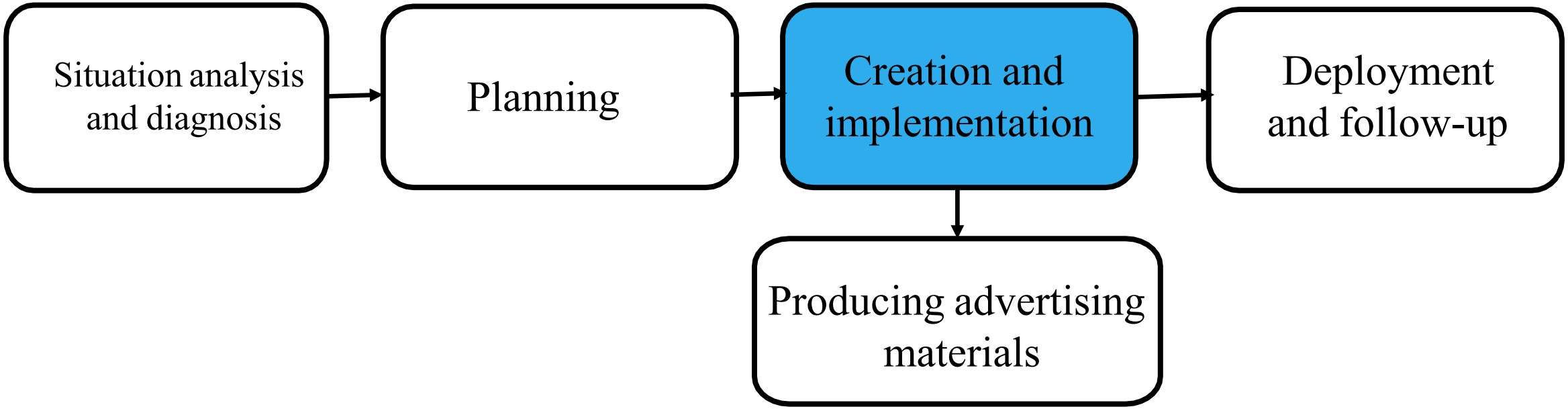


Other forms of communication

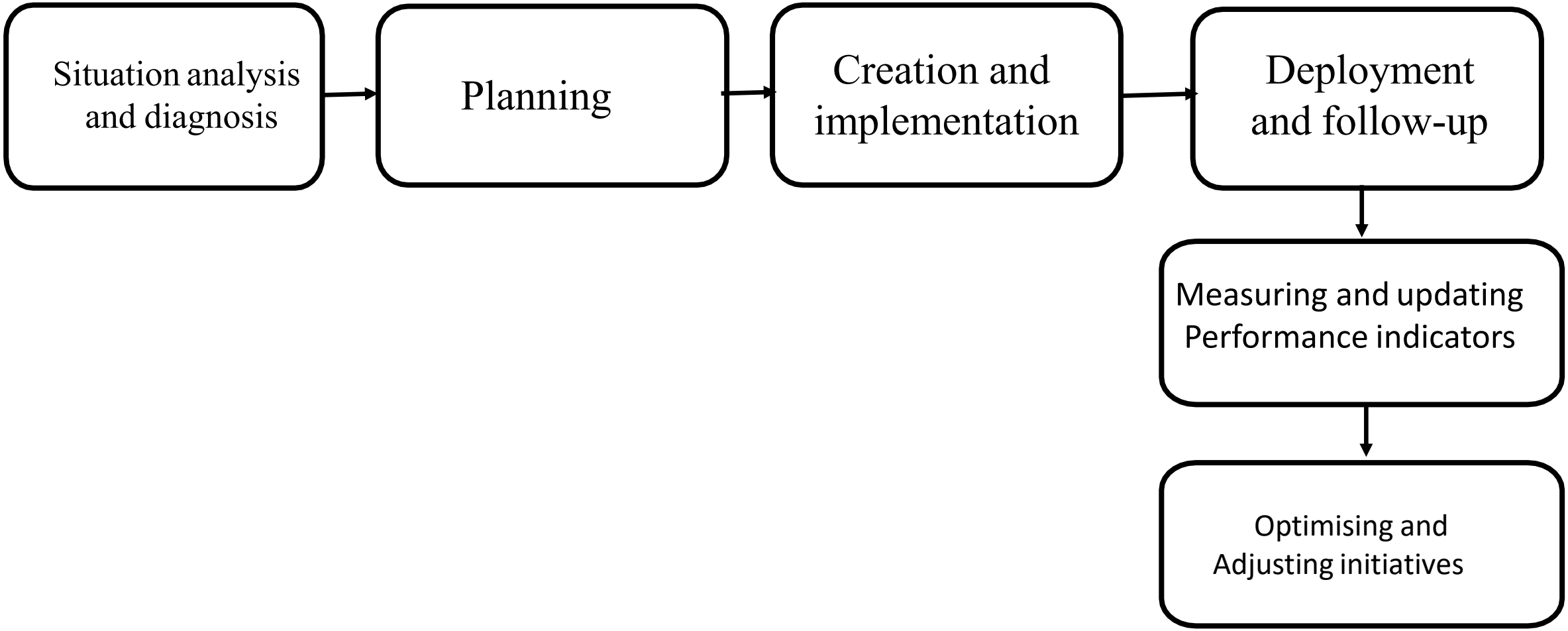
- Geurilla Marketing
  - A company uses surprise and/or unconventional interactions in order to promote a product or service.


What if we bottled the dirty water

Step 3: Creation and Implementation



Step 4: Development and follow-up



Steps in Developing Effective Marketing Communication

- Identify the target audience
- Determine the communication objectives & Setting KPIs
- Design the message
- Choose the media to send the message
- Timetables/allocating budget & resources
- Contingency plan

Identify The Target Audience

- Who is your audience?
  - Current users, potential buyers, those who influence decision?
- Your target audience will determine
  - Your message, your media channel, type of content, etc.

Communication Objectives

- What the target should know, think, feel or do after exposure to a communication
- Examples:
  - Build awareness of a brand
  - Inform consumers that an offer exists
  - Change consumers' attitude toward a brand or offer
  - Steer traffic toward a website
  - Stimulate trials, buy or rebuy



Design the Message

AIDA Model

- Get **A**ttention
- Hold **I**nterest
- Arouse **D**esire
- Obtain **A**ction



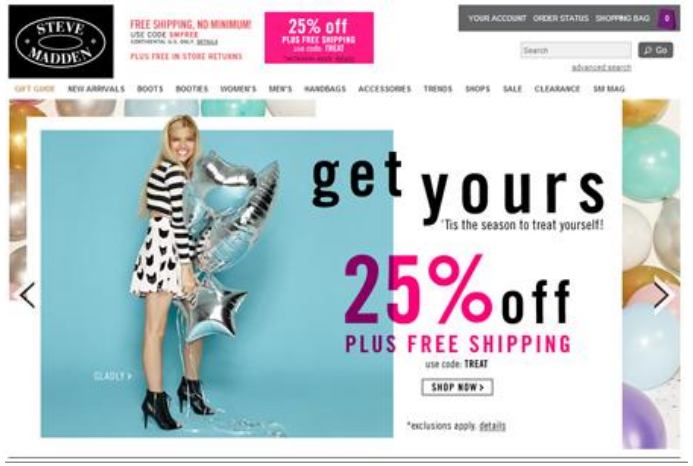

10:53
Sunday, Feb 3 | 60°F
Assistant
Gmail
Maps
Calendar
Photos

Message Content

- Rational Appeal: Relates to the audience's self-interest, conveys product/service benefits
- Emotional Appeal: Attempt to stir up positive or negative emotions to motivate a purchase
- Moral Appeal: Directed to an audience's sense of what is right and proper
- Conative messages: Designed to lead to some type of consumer response

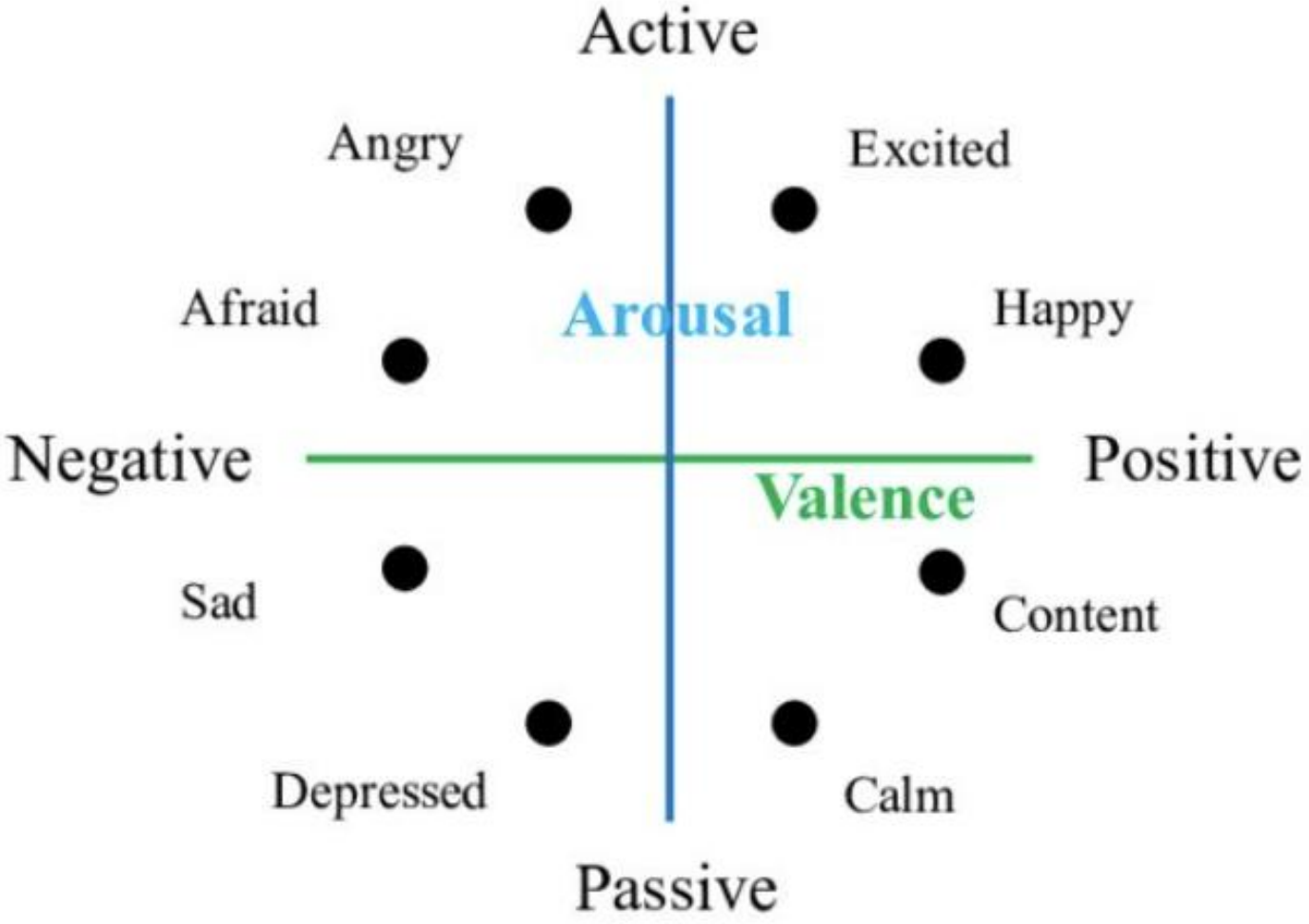








Russell's (1980) Model of Affect



Can Virality be Designed?

JONAH BERGER and KATHERINE L. MILKMAN*

Why are certain pieces of online content (e.g., advertisements, videos, news articles) more viral than others? This article takes a psychological approach to understanding diffusion. Using a unique data set of all the *New York Times* articles published over a three-month period, the authors examine how emotion shapes virality. The results indicate that positive content is more viral than negative content, but the relationship between emotion and social transmission is more complex than valence alone. Virality is partially driven by physiological arousal. Content that evokes high-arousal positive (awe) or negative (anger or anxiety) emotions is more viral. Content that evokes low-arousal, or deactivating, emotions (e.g., sadness) is less viral. These results hold even when the authors control for how surprising, interesting, or practically useful content is (all of which are positively linked to virality), as well as external drivers of attention (e.g., how prominently content was featured). Experimental results further demonstrate the causal impact of specific emotion on transmission and illustrate that it is driven by the level of activation induced. Taken together, these findings shed light on why people share content and how to design more effective viral marketing campaigns.

Keywords: word of mouth, viral marketing, social transmission, online content

What Makes Online Content Viral?

Push vs. Pull Marketing



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Activity 2

- Select from: A new plant-based snack OR fitness app OR electric scooter
- Design a **promotional mix plan** using at least 3 tools
- Define the **objective** (awareness, trial, repeat purchase, etc.)
- Pick the **media channels** (TV, social, influencer, in-store, etc.)
- State the **key message appeal** (rational, emotional, conative, moral).

Thank You!